

Superior Court of the State of California
County of Orange
TENTATIVE RULINGS FOR N18
Hon. Scott A. Steiner

Date: August 19, 2026

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Submitting on Tentative Rulings: If all counsel intend to submit on the tentative ruling and do not desire oral argument, please advise the courtroom clerk or courtroom attendant by calling (657) 622-5618. Please do not call the department unless **ALL** parties submit on the tentative ruling. If all sides submit on the tentative ruling and advise the court, the tentative ruling shall become the court's final ruling and the prevailing party shall give notice of the ruling and prepare an order for the court's signature if appropriate under California Rules of Court, rule 3.1312.

Non-Appearances: If no one appears for the hearing and the court has not been notified that all parties submit on the tentative ruling, the court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling. The court also may make a different order at the hearing. (Lewis v. Fletcher Jones Motor Cars, Inc. (2012) 205 Cal.App.4th 436, 442, fn. 1.)

Appearances: Department N18 conducts non-evidentiary proceedings, such as law and motion hearings, remotely by Zoom videoconference pursuant to Code of Civil Procedure section 367.75 and Orange County Local Rule 375. Any party or attorney, however, may appear in person by coming to Department N18 at the North Justice Center, located at 1275 N. Berkeley Ave., Fullerton, California. All counsel and self-represented parties appearing in-person must check in with the courtroom clerk or courtroom attendant before the designated hearing time.

All counsel and self-represented parties appearing remotely must check-in online through the court's civil video appearance website at [Civil Remote Hearings | Superior Court of California | County of Orange \(occourts.org\)](https://occourts.org/Civil-Remote-Hearings-Superior-Court-of-California-County-of-Orange) before the designated hearing time. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Participants will initially be directed to a virtual waiting room pending the start of their specific video hearing. Check-in instructions and instructional video are available at [Civil Remote Hearings | Superior Court of California | County of Orange \(occourts.org\)](https://occourts.org/Civil-Remote-Hearings-Superior-Court-of-California-County-of-Orange). The Court's "Appearance Procedures and Information--Civil Unlimited and Complex" and "Guidelines for Remote Appearances" also are available at [Civil Remote Hearings | Superior Court of California | County of Orange \(occourts.org\)](https://occourts.org/Civil-Remote-Hearings-Superior-Court-of-California-County-of-Orange). Those procedures and guidelines will be strictly enforced.

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#	Case Name	Tentative
1.	2025-1455712 Bank Of America, N.A. vs. Sofonio	The motion of Cordoba Legal Group, by Andrew Joseph Gramajo, counsel of record for defendant Rex Sofonio to be relieved as counsel for Defendant is granted. [ROA #28.] The court will fill in the proposed order as to findings and to show that there are no future dates and will sign the amended order. Upon the signing of the amended order, counsel shall serve the signed order on Defendant and all parties that have appeared. Counsel will be relieved as counsel of record for Defendant effective upon the filing of the proof of service of the signed amended order upon Defendant and all other parties.
2.	2026-1553859 Bussolini vs. Ma	Adam Kocaj, Esq. of Kocaj Law, P.C.'s motion to be relieved as counsel for Plaintiff Bradley Bussolini is granted. Upon the signing of the order, counsel shall serve said order on all parties who have appeared as well as Mr. Bussolini.

		Adam Kocaj, Esq. of Kocaj Law, P.C. will be relieved as counsel of record for Plaintiff effective upon the filing of the proof of service of the signed order upon the parties. Mr. Kocaj shall give notice of the ruling.
5.	2022-1276938 Uthman vs. Angel Babies Surrogacy & Egg Donation LLC	Plaintiffs David K. Uthman and Wendace C. Witt's Motion to Amend Judgment to Award Attorney's Fees, Prejudgment Interest and Costs is granted in part as set forth below. <u>Prejudgment Interest</u> The Judgment provides that Defendants unlawfully withheld and concealed Plaintiffs' \$67,400. (ROA 139, pg. 2:15.) Plaintiff David K. Uthman was awarded \$267,400 plus interest pursuant to Civil Code § 3288; and Plaintiff Wendace C. Witt was awarded \$200,000, plus interest pursuant to Civil Code § 3288. (Judgment, ROA 139. at pg. 2:17-20.) Civil Code § 3288 provides for awarding prejudgment interest in tort and certain other non-contractual actions. Prejudgment interest pursuant to Civil Code § 3288 is 7 percent per annum. The damages base for the interest calculation consists of the ascertainable, economic losses. (<i>Steinfeld v. Foote-Goldman Proctologic Medical Group, Inc.</i> (1997) 60 Cal.App.4th 13, 21.) Thus, prejudgment interest is calculated using \$67,400 that was taken by Defendants. $\\$67,400 \times 7\% = \\$4,718/\text{yr.}$ Thus, \$4,718 divided by 365 days = \$12.93 prejudgment interest per day. The accrual start date runs from the date of the tortious act proximately causing the plaintiff's damages, or 11/21/19. (See, <i>Newby v. Vroman</i> (1992) 11 Cal.App.4th 283, 289.) Thus, prejudgment interest is calculated from 11/21/19 until the date of Judgment, 3/19/26, which is 2310 days (<i>not</i> 1579 days as claimed by Plaintiffs). $2310 \text{ days} \times \\$12.93/\text{day} = \\$29,868.30$ Accordingly, prejudgment interest in this matter is \$29,868.30. <u>Attorney's Fees</u> A. <u>Entitlement to Fees</u> When authorized by contract, statute or "law," reasonable attorney fees are "allowable costs." (Code Civ. Proc. § 1033.5(a)(10)(A), (B) & (C).) Penal Code Section 496 states: "(c) Any person who has been

injured by a violation of subdivision (a) or (b) may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney's fees."

On 3/19/26, the Court entered default judgment in favor of Plaintiffs and against Defendants. (ROA 139.) The Court found that the Defendants, and each of them, intentionally violated "Family Code § 7961 and under false pretenses, and these Defendants unlawfully withheld and concealed Plaintiff's \$67,400, which constitutes theft by conversion and/or fraud as contemplated by Penal Code §496(c)...." (ROA 139, pg. 2:13-16.)

Thus, Plaintiffs are entitled to attorney's fees.

B. Reasonable Fees

A court assessing attorneys' fees begins with a "touchstone" or "lodestar" figure based on the "careful compilation of the time spent and reasonable hourly compensation of each attorney ... involved in the presentation of the case." (*Serrano v. Priest* (1977) 20 Cal.3d 25, 48). "The reasonable hourly rate is that prevailing in the community for similar work." (*PLCM Group v. Drexler* (2000) 22 Cal.4th 1084, 1095 (internal citation omitted)). As to the reasonableness of the hours, "trial courts must carefully review attorney documentation of hours expended; 'padding' in the form of inefficient or duplicative efforts is not subject to compensation." (*Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1132). The court may make a downward adjustment if the billing entries are vague, "blockbilled," or unnecessary. (See, 569 *East County Boulevard LLC v. Backcountry Against the Dump, Inc.* (2016) 6 Cal.App.5th 426 (trial court properly adjusted downward the hour component for the lodestar calculus where, among other findings, there was only one cause of action and the issues were not especially novel or complex)).

"The burden is on the successful party to prove the appropriate market rate to be used in calculating the lodestar. [Citation] However, the moving party may satisfy its burden through its own affidavits, without additional evidence. [Citation] Moreover, in assessing a reasonable hourly rate, the trial court is allowed to consider the attorney's skill as reflected in the quality of the work, as well as the attorney's reputation and status. [Citation]." (*MBNA American Bank, N.A. v. Gorman* (2006) 147 Cal.App.4th Supp. 1).

If the moving party meets its burden, the burden shifts to the opposing party to produce admissible evidence sufficient to show that the rates requested are not reasonable. (See, *Graciano v. Robinson Ford Sales, Inc.* (2006) 144 Cal.App.4th 140, 155 [finding court erred in reducing rates where evidence of reasonableness of

rate requested was undisputed]; *Davis v. City of San Diego*, 106 Cal.App.4th at 904.)

“It is well established that the determination of what constitutes reasonable attorney fees is committed to the discretion of the trial court [Citations.] The value of legal services performed in a case is a matter in which the trial court has its own expertise. [Citation.] The trial court may make its own determination of the value of the services contrary to, or without the necessity for, expert testimony.” (*PLCM Group v. Drexler* (2000) 22 Cal.4th 1084, 1096).

Here, Plaintiffs and their counsel have a hybrid-retainer agreement on this case. The retainer agreement provides for a more than reasonable hourly rate of \$250 per-hour and a contingency fee of 25% of the amount awarded to Plaintiffs, if any.

Counsel has established 172.7 hours of work at \$250/hr. (Perez, Ex. A) which totals \$43,175 (172.7 x \$250); not \$58,850 as claimed in the motion, or the \$56,350 claimed in Perez’s Declaration. Thus, \$43,175 for billable hours is recoverable.

With regard to the 25% contingency fee, while Plaintiffs have shown they are entitled to said fee, Plaintiffs’ numbers, as explained above, are also incorrect. Plaintiffs claim pre-judgment interest of \$20,416.47, but that number is actually \$29,868.30.

In reality, Plaintiffs’ prejudgment interest is substantially more at \$29,868.30. Uthman and Witt were awarded total damages of \$467,400 (\$267,400 awarded to Uthman + \$200,000 to Witt).

Damages of \$467,400 + prejudgment interest of \$29,868.30 equals \$497,268.30.

Twenty-five percent of \$497,268.30 is \$124,317.08. Thus, the 25% contingency is \$124,317.08.

The total amount of attorney’s fees awarded is \$167,492.08 (\$43,175 + \$124,317.08)

Costs

In addition to the attorney’s fees and prejudgment interest sought Plaintiffs also request \$2,290.26 in costs.

Under Code of Civil Procedure § 1032(b), except as otherwise expressly provided by statute, a prevailing party is entitled as a matter of right to recover costs in any action or proceeding. Penal Code § 496(c) awards costs of suit as part of the civil remedy,

		making costs an element of the statutory recovery. Code of Civil Procedure § 1033.5(c)(5)(A) further provides that where a statute refers to the award of costs and attorney’s fees, attorney’s fees are an item and component of the costs to be awarded. Rules of Court, Rule 3.1700(a)(1) provides that a prevailing party who claims costs must serve and file a memorandum of costs within 15 days after the date of service of the notice of entry of judgment or dismissal by the clerk under Code of Civil Procedure section 664.5, or the date of service of written notice of entry of judgment or dismissal, or within 180 days after entry of judgment, whichever is first. The cost memorandum procedure under Rule 3.1700 applies only to cost items to which a party is entitled as a matter of right, because the rule requires the clerk to immediately enter the costs on the judgment if the opposing party does not move to strike or tax costs. (<i>Neeble-Diamond v. Hotel California By the Sea, LLC</i> (2024) 99 Cal.App.5th 551, 558.) By contrast, costs that require a court determination – such as the attorney’s fees sought above – may not be immediately entered by the clerk and therefore do not need to be included in a memo. of costs. (Ibid.) Because Penal Code § 496(c) awards costs of suit as a matter of right to an injured party who prevails, those costs fall squarely within the scope of Rule 3.1700. A party seeking to recover ordinary costs of suit under § 496(c) must therefore file a memorandum of costs in compliance with Rule 3.1700. Here, no Memorandum of Costs was filed. Thus, Plaintiffs are not entitled to recover the requested costs and the motion is denied as to costs. <u>Conclusion</u> The motion is granted as to attorney’s fees of \$167,492.08; and prejudgment interest of \$29,868.30. The request for costs is denied.
6.	2023-1334704 Woodforest National Bank vs. Nissani	Plaintiff Woodforest National Bank’s motion for summary judgment against each of defendants Hooman Nissani (“Nissani”), Sean Leoni (“Leoni”), Jalil Rashti (“Rashti”), Babak Sarraf (“Sarraf”), and H.S.K. Investments, LLC (“HSK Investments”) is granted as to Defendants Nissani and HSK Investments; it is denied as to Defendants Leoni, Rashti, and Sarraf. [ROA #120.]

The court did not consider Plaintiff's new evidence submitted on reply. Code Civ. Proc. §437c(b)(4).

Facts

Plaintiff has filed a single cause of action complaint for breach of guaranty against many defendants. [ROA #2.]

In 2017, Plaintiff loaned PVR Group, Inc. \$5,850,000. [Aderhold Decl. (ROA #121), ¶¶ 3-4 and Exs. 1-5.] This involved a written agreement with numerous amendments. [*Id.*]

As part of the original transaction, the following guaranteed repayment of the loan: Nissani, Leoni, Rashti, Sarraf, NBA Automotive, Inc., RHC Automotive, Inc., R&H Automotive Group, Inc., RHH Automotive, Inc., RHN, Inc. and HSK Investments. [Aderhold Decl., ¶¶ 5-14 and Exs. 6-15.]

On or about 6/19/20, Plaintiff, the borrower, and the identified guarantors executed a Forbearance Agreement (the "2020 Forbearance Agreement"). [Aderhold Decl., ¶16 and Ex. 16.] Then, on or about 9/121, Plaintiff, the borrower and the identified guarantors executed an Extension and Forbearance Agreement (the "2021 Forbearance Agreement"). [*Id.* ¶17 and Ex. 17.]

When the borrower started missing payments in April 2022, Plaintiff sent demand letters to the borrower and the guarantors – including an acceleration letter. [Aderhold Decl., ¶¶ 19-22 and Exs. 18-20.]

The amount due as of 7/9/25 was:

Principal: \$2,047,500.00

Interest: \$804,676.61

Late Fees: \$149,311

Legal Fees and Costs: \$203,413.57

Total: \$3,204,901.37

Additional interest continues to accrue after July 9 at a rate of \$753.59 per day. Legal fees and costs also continued to accrue. [Aderhold Decl., ¶¶ 23-24 and Ex. 21.]

Each of Defendants Leoni, Rashti, and Sarraf (the "Responding Defendants") declares that he did not sign the guarantee attributed to him or either forbearance agreement. [Leoni Decl. (ROA #297), ¶¶ 2-13 and Exs. F, G, H, I (*see* COE (ROA #305) for exhibits); Rashti Decl. (ROA #295), ¶¶ 2-17 and Exs. H, I, J, K, L, M, N and O; Sarraf Decl. (ROA #291), ¶¶ 2-10 and Ex. P.] They further present expert testimony that the signatures on the documents are not

theirs. [Stewart Decl. (ROA #299), ¶¶ 2-14 and Ex. B.] Finally, counsel for these Responding Defendants declares that during discovery Plaintiff was unable to provide information or documents showing who Plaintiff dealt with when obtaining the information and signatures for the loan. [Campaign Decl. (ROA #303), ¶¶ and Exs. 3-5 and Exs. A-B.] According to Plaintiff's discovery responses, all such documents had previously been destroyed. [*Id.*, Ex. A.]

Defendants Nissani and HSK Investments have not responded to Plaintiff's motion for summary judgment.

Legal Standard

A "party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact" *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal. 4th 826, 850. "A prima facie showing is one that is sufficient to support the position of the party in question." *Id.* at 851. Where a plaintiff seeks summary judgment, the burden is to produce admissible evidence on each element of a cause of action entitling him or her to judgment. Code Civ. Proc. § 437c(p)(1); *S.B.C.C., Inc. v. St. Paul Fire & Marine Ins. Co.* (2010) 186 Cal. App. 4th 383, 388.

This means that a plaintiff who bears the burden of proof at trial by a preponderance of evidence must produce evidence that would require a reasonable trier of fact to find any underlying material fact more likely than not. *LLP Mortg. v. Bizar* (2005) 126 Cal. App. 4th 773, 776. At that point, the burden shifts to the defendant "to show that a triable issue of one or more material facts exists as to that cause of action." Code Civ. Proc. § 437c(p)(1).

The moving party's affidavits are strictly construed while those of the opposing party are liberally construed. *Villacres v. ABM Industries, Inc.*, 189 Cal.App.4th at 575. The facts alleged in the evidence of the party opposing summary judgment and the reasonable inferences therefrom must be accepted as true. *Id.*

Discussion

Under California law, "[a] surety or guarantor is one who promises to answer for the debt, default, or miscarriage of another, or hypothecates property as security therefor." Civ. Code § 2787. "A lender is entitled to judgment on a breach of guaranty claim based upon undisputed evidence that [1] there is a valid guaranty, [2] the borrower has defaulted, and [3] the guarantor failed to perform under the guaranty." *Gray1 CPB, LLC v. Kolokotronis* (2011) 202 Cal.App.4th 480, 486.

	With the Aderhold Declaration, Plaintiff has presented a prima facie showing that Defendants are in breach of their guarantees. It has presented evidence of the guarantees. [Aderhold Decl., ¶¶ 5-14, 16-17 and Exs. 6-17.] It has presented evidence of the borrowers' default. [Aderhold Decl., ¶¶ 19, 20, 23, 24 and Ex. 21.] And Plaintiff has, implicitly, presented evidence of Defendant guarantors' failure to perform under their guarantees. [<i>Id.</i>, ¶¶ 23, 24 and Ex. 21.] In the absence of any response from Nissani and HSK Investments, these Defendants have not shown a triable issue of fact. Accordingly, Plaintiff's motion for summary judgment is granted as to Defendants Nissani and HSK Investments. Responding Defendants, however, <i>have</i> shown a triable issue of fact with their evidence that they did not sign the guarantees and forbearance agreements at issue. [Leoni Decl. (ROA #297), ¶¶ 2-13 and Exs. F, G, H, I (<i>see</i> COE (ROA #305) for exhibits); Rashti Decl. (ROA #295), ¶¶ 2-17 and Exs. H, I, J, K, L, M, N and O; Sarraf Decl. (ROA #291), ¶¶ 2-10 and Ex. P; Stewart Decl. (ROA #299), ¶¶ 2-14 and Ex. B; Campaign Decl. (ROA #303), ¶¶ and Exs. 3-5 and Exs. A-B.] On reply, Plaintiff argues that Responding are estopped by their silence in the face of demand letters from denying their signatures on (or obligations under) the guarantees, citing Civil Code section 1589, <i>Golden Eagle Ins. Co. v. Foremost Ins. Co.</i> (1993) 20 Cal.App.4th 1372, <i>Newhall v. Joseph Levy Bag Co.</i> (1912) 19 Cal.App. 9, and <i>Skulnick v. Roberts Express, Inc.</i> (1992) 2 Cal.App.4th 884. First, Plaintiff presents no evidence that Responding Defendants received the demand letters. Second, these notices were after the loan was made and after the borrower' breach. Plaintiff does not explain how it relied on Responding Defendants' silence. The elements of the doctrine of equitable estoppel are that “ ‘(1) the party to be estopped must be apprised of the facts; (2) he must intend that his conduct shall be acted upon, or must so act that the party asserting the estoppel has a right to believe it was so intended; (3) the other party must be ignorant of the true state of facts; and (4) he must rely upon the conduct to his injury.’ ” <i>Windsor Pacific LLC v. Samwood Co., Inc.</i> (2013) 213 Cal.App.4th 263, 271-272, disapproved of on another ground by <i>Mountain Air Enterprises, LLC v. Sundowner Towers, LLC</i> (2017) 3 Cal.5th 744; accord, <i>Schafer v. City of Los Angeles</i> (2015) 237 Cal.App.4th 1250, 1261.)
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		Further, Plaintiff does not present evidence (or describe how) Responding Defendants received any benefit from Plaintiff's loan to the borrower – or that they were aware of, and did not disavow, an agent providing signatures to Plaintiff purportedly on behalf of the Responding Defendants. <i>See</i> Civ. Code §1589, <i>Newhall v. Joseph Levy Bag Co.</i> (1912) 19 Cal.App. 9, 27; <i>Golden Eagle Ins. Co. v. Foremost Ins. Co.</i> (1993) 20 Cal.App.4th 1372, 1386; <i>Skulnick v. Roberts Express, Inc.</i>, (1992) 2 Cal.App.4th 884, 890–891. On the current record, the court cannot find as a matter of law that Responding Defendants are estopped from denying they signed the guarantees and forbearance agreements. Accordingly, the motion for summary judgment is denied as to as to each of the Responding Defendants Leoni, Rashti, and Sarraf.
8.	2023-1363467 Manoussi vs. Sterling Infosystems, Inc.	Before the Court is Plaintiffs Azadeh Manoussi and Kaveh Vakilzadeh's Motion to allow them to withdraw from arbitration pursuant to CCP § 1281.97(b)(l) and for monetary sanctions. At the outset, The Court admonishes Plaintiffs' counsel for citing an unpublished Court of Appeal opinion in violation of California Rules of Court, rule 8.1115(a). (Reply, ROA 145, p. 3, lines 24–26.) Plaintiffs Azadeh Manoussi and Kaveh Vakilzadeh move under Code of Civil Procedure section 1281.97 to withdraw their claims from arbitration, lift the stay, and recover \$5,910 in monetary sanctions from defendant A Place for Rover, Inc. (Rover). The motion is granted. The Court finds Rover's failure to pay the JAMS initiation fee was grossly negligent, constituted a material breach of the arbitration agreement, and permits Plaintiffs to withdraw from arbitration and proceed in this Court. The stay is lifted. Monetary sanctions of \$5,910 are imposed against Rover under section 1281.99, payable to Plaintiffs through their counsel within 30 days after service of notice of this ruling. <u>Request for Judicial Notice</u> Rover's request for judicial notice of the Court's September 30, 2024, minute order granting the motion to compel arbitration is granted. (Evid. Code, § 452, subd. (d).) The Court notices the existence and contents of the order, but not the truth of any disputed factual assertion contained in the court record. <u>Background</u>

On September 30, 2024, the Court granted the motion to compel arbitration and stayed this action. The parties ultimately submitted the dispute to JAMS in approximately October 2025.

On December 23, 2025, JAMS issued Invoice No. 8031202 to Rover for the \$3,250 nonrefundable filing fee. The invoice stated that payment was due upon receipt. A month later, JAMS sent a reminder on January 15, 2026. On January 16, defense counsel advised JAMS that the original invoice had been routed to a junk-mail folder and stated: “I will forward this to my client today for processing.” On January 20, JAMS issued a final request and closed the arbitration for nonpayment.

Rover did not issue a check until March 6, 2026. That check was not received because it apparently was mailed to the wrong JAMS office. The record does not establish when Rover or its counsel discovered the failed delivery. Rover asserts that counsel thereafter communicated with JAMS to obtain the proper address. JAMS confirmed an address on July 8, and Rover mailed a replacement payment and request for reinstatement on July 9, 2026.

Applicable Law

In a consumer arbitration, when the drafting party fails to pay fees required before the arbitration may proceed within 30 days after the due date, section 1281.97 provides that the drafting party is in material breach and default and waives the right to compel arbitration. The consumer may withdraw the claim and proceed in court. (Code Civ. Proc., § 1281.97, subds. (a)(1), (b)(1).)

Hohenshelt v. Superior Court (2025) 18 Cal.5th 310 held that the statutory scheme must be construed together with generally applicable principles governing forfeiture and relief from default. Thus, late payment does not invariably forfeit arbitration rights. Forfeiture is warranted where the nonpayment is willful, grossly negligent, or fraudulent; otherwise, relief may be available for a good-faith mistake, inadvertence, or other excusable neglect. (*Id.* at pp. 323, 343-346.) The Court considers the circumstances of the nonpayment and the equitable factors bearing on relief, including prejudice and whether the nonbreaching party can be made whole. (*Ibid.*)

Gross negligence is either a “want of even scant care” or an extreme departure from the ordinary standard of conduct. (*City of Santa Barbara v. Superior Court* (2007) 41 Cal.4th 747, 754, citing *Eastburn v. Regional Fire Protection Authority* (2003) 31 Cal.4th 1175, 1185–1186.) In *Wilson v. Tap Worldwide, LLC* (2025) 114 Cal.App.5th 1077, 1090, the Court of Appeal held that an electronic payment initiated on the last permissible day and received one

business day later was, as a matter of law, not willful, grossly negligent, or fraudulent. *Wilson* also reversed the associated fee award. (*Id.* at pp. 1090-1091).

Analysis

1. Rover's course of conduct was grossly negligent.

The initial diversion of one email to a junk-mail folder, standing alone, could amount to ordinary inadvertence. The motion does not turn on that isolated event. By January 15 or 16, 2026, after a month of non-payment, Rover's counsel had actual notice of the overdue invoice and expressly represented that it would be forwarded to Rover that day for processing. Still not having received payment, JAMS then issued a final request and closed the arbitration on January 20. Yet Rover did not issue any payment until March 6 - approximately seven weeks after actual notice and more than six weeks after the statutory deadline.

Rover offers only the general statement that additional time was required to complete its internal corporate payment process and obtain funds. That does not explain what happened during those weeks, why counsel represented that payment would be made "that day," why a \$3,250 filing fee could not be timely paid, what steps anyone at Rover took, or why counsel did not ensure compliance after expressly acknowledging the invoice. No declaration from a Rover employee responsible for payment supplies those missing facts. A party that obtained an order compelling arbitration had, at a minimum, a duty to monitor and timely perform the payment obligation necessary to initiate that arbitration.

The March 6 check does not cure the lack of care. It was mailed to the wrong office and never received. The record does not show that Rover used tracking, verified delivery, promptly learned of the nondelivery, or immediately sent replacement funds by an assured method. Nor does it identify the dates or substance of the asserted follow-up communications with JAMS. The first documented replacement effort shown by the evidence occurred on July 9 - nearly seven months after the invoice, almost six months after actual notice, and long after JAMS closed the matter.

The Court need not find that Rover deliberately sought delay, and it need not reject counsel's explanation that the first invoice went to junk mail. The opposition's emphasis on the absence of intentional delay is misplaced. (Opposition, ROA 137, p. 5.) Gross negligence does not require intentional misconduct. Thus, the absence of a deliberate effort to obstruct the arbitration does not preclude a finding of material breach under *Hohenshelt*. Even accepting

	Rover’s account, its serial failures after actual notice - a lengthy and unexplained internal delay vaguely attributed to “administrative oversight,” a check directed to the wrong office, no demonstrated effort to verify delivery, and months of further delay before replacement—reflect a “want of even scant care” and an extreme departure from the conduct reasonably expected of a drafting party whose payment was indispensable to the forum it had compelled. This is not a short, promptly corrected, good-faith mistake. <i>Wilson</i> underscores the difference. There, the drafting party acted on the deadline and the provider received funds one business day late. (<i>Wilson</i>, supra, 114 Cal.App.5th at 1090.) Here, the default persisted for months after actual notice and after administrative closure. <i>Wilson</i> does not insulate such conduct. <i>2. Rover has not established grounds for equitable relief from forfeiture.</i> Rover bears the burden of showing facts supporting relief from the consequences of its default. Its generalized invocation of an administrative delay is insufficient. The evidence does not establish a good-faith mistake that was promptly corrected or otherwise excusable neglect. Civil Code section 3275 independently withholds relief from a party whose breach was grossly negligent, willful, or fraudulent. Because the Court finds gross negligence, equitable relief is unavailable on this record. The absence of a missed merits hearing or completed discovery does not compel a different result. Plaintiffs were prevented from commencing the arbitration for months, JAMS closed its file, and Plaintiffs were required to pursue relief in court. Prejudice is relevant to equitable relief, but it does not erase gross negligence. Nor would an order simply restarting arbitration fully restore the time and expense occasioned by Rover’s repeated failures. <i>3. Plaintiffs may withdraw from arbitration and the stay must be lifted.</i> Because Rover materially breached the arbitration agreement within the meaning of section 1281.97, subdivision (a), Plaintiffs may exercise their statutory election to withdraw their claims from arbitration and proceed in court. (§ 1281.97, subd. (b)(1).) The stay imposed pending arbitration is therefore lifted. The September 30, 2024, order compelling arbitration is no longer enforceable against Plaintiffs as to the claims encompassed by their statutory election.
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		<i>4. Monetary sanctions are mandatory and the requested amount is reasonable.</i> Section 1281.99, subdivision (a), requires the Court to order a drafting party that materially breaches under section 1281.97 to pay the reasonable expenses, including attorney fees and costs, incurred by the consumer as a result of the breach. Plaintiffs request \$5,910, consisting of 2.0 hours reviewing JAMS correspondence and following up regarding payment, 3.0 hours researching available remedies, 2.0 hours drafting the election and motion, 2.0 hours for the hearing, all at \$650 per hour, plus \$60 in filing fees and costs. (Vance Decl., ¶ 8.) The hourly rate and time claimed are reasonable for this motion and were caused by Rover’s material breach. Rover does not offer a developed challenge to the amount. The Court therefore awards the requested \$5,910. The award is compensatory and mandatory under section 1281.99, subdivision (a); the Court does not impose discretionary evidentiary, terminating, or contempt sanctions under subdivision (b). <u>Disposition</u> 1. Plaintiffs’ motion to withdraw from arbitration and lift the stay is granted. 2. The stay of this action is lifted. 3. Monetary sanctions of \$5,910 are imposed against defendant A Place for Rover, Inc., payable to Plaintiffs through counsel within 30 days after service of notice of this ruling. 4. Rover shall give notice.
9.	2024-1424606 Vega vs. Bearley	Case Management Conference The demurrer of plaintiffs Philip Vega, Kevin Vega, and Contractors and Developers Bonding & Insurance Services Inc. to defendant Great American Insurance Company’s answer is sustained in part and overruled in part. The demurrer is sustained with 15 days leave to amend as to the ninth cause of action; it is otherwise overruled.

		Previously, Plaintiffs demurred to the answer filed by Defendant Matthew Caldwell. The parties agree that not only are the Caldwell and Great American answers the same [ROA ## 361, 299] but so are the demurrers to each of them. [ROA ## 370, 309.] [See Opp. (ROA #447) at 3:14-18.] Given this, Plaintiffs have stated that they stipulate to the ruling on their demurrer to Great American's answer being the same as the 6/24/26 ruling [ROA # 421] on Plaintiffs' demurrer to Defendant Caldwell's answer. [See Reply (ROA #453) at 1:2-10.] Accordingly, for the reasons stated in the court's 6/24/26 minute order, the demurrer to Defendant Great American's answer is sustained with leave to amend as to the ninth affirmative defense and overruled as to the remaining.
11.	2025-1516494 Kimberly Arms, LLC vs. James D. White, as Trustee of the Henry A. Fredricks Separate Property Trust dated October 12, 1988	Case Management Conference The Court denies Plaintiff Kimberly Arms, LLC's Motion to strike portions of Defendant James R. White's (as Co-Trustee) Answer. <u>Legal Standard</u> Pursuant to Code of Civil Procedure section 436, the court may: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading. (b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. "The grounds for a motion to strike shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice." (Code Civ. Proc., § 437, subd. (a).) "[J]udges read allegations of a pleading subject to a motion to strike as a whole, all parts in their context, and assume their truth." (<i>Clauson v. Superior Court</i> (1998) 67 Cal.App.4th 1253, 1255.) <u>Merits</u> Plaintiff brings a singular claim for partition in her Complaint. In response to Defendant's Answer, Plaintiff now seeks to strike the first affirmative defense for unclean hands and facts alleged in the Answer. Specifically, Plaintiff seeks to strike the following from the Answer: 1. Paragraphs 1-9, Page 9, lines 9-27, and page 10, lines 1-15 of the Answer's First Affirmative Defense (Unclean Hands). 2. Paragraph 1, Page 3, Lines 8-12: "...and expands upon Plaintiff's summary as follows: The Complaint appears to be part of a scheme

by a disbarred lawyer to steal money that belongs to a 94-year-old woman and was supposed to go to various charities after her death. Responding Defendant will NOT assist in such a fraud and therefore opposes Plaintiff's prayers for partition, contribution, disbursement, possession, fees and costs."

3. Paragraph 2, Page 9, Line 13: "... who is an elder and approximately 94 years old."

4. Paragraph 3, Page 9, Line 14: "Responding Defendant has been unable to reach Catherine Emmi."

5. Paragraph 4, Page 9, Lines 15-16: "Plaintiff has been told that Ms. Catherine Emmi was likely not in California on the date that the deed was allegedly notarized in Riverside California."

6. Paragraph 5, Page 9, Lines 17-19: "Catherine Emmi's signature on the deed Recorded August 27, 2021, appears to be significantly different than Catherine Emmi's signature on earlier documents."

7. Paragraph 6, Page 9, Line 21: "...a disbarred attorney (SBN 93106)..."

8. Paragraph 7, Page 9, Lines 24-17, Page 10, Lines 1-2: "Responding Defendant has been told that Cameron Pearce is also a manager of Plaintiff. Responding Defendant is informed and believes and thereupon alleges that Cameron Pearce is the subject of an investigation by the department of Homeland Security and that search warrants were recently served by the Federal Bureau of Investigation at Mr. Pearce's property. Responding Defendant is uncertain whether Mr. Cameron Pearce was arrested."

9. Paragraph 8, Page 10, Lines 3-12: "Responding Defendant is informed and believes and thereupon alleges that Garfield Langmuir-Logan was disbarred, inter alia, for 'willfully engaging in financial elder abuse against a client,' 'suppressing and failing to disclose information, and misleading trustees and beneficiaries regarding trust property,' 'taking property belonging to clients' trust for wrongful use or with intent to defraud, and failing to disclose and falsifying information to mislead his clients regarding trust property', and 'breaching his fiduciary duties as attorney-in-fact for a trust, failing to account, and engaging in self-dealing regarding trust property.' (*In re Garfield Langmuir-Logan (State Bar of California)*, Nos. 16-0-10267-CV, 16-C-17296; 16-C-17291 (Cons.)) Decision And Order Of Involuntary Inactive Enrollment of February 14, 2019.)"

		In broad strokes, Plaintiff argues that these allegations in the Answer are irrelevant and lack factual grounds because unclean hands is not a defense to a partition action. The Code of Civil Procedure provides that as to concurrent interests in property, partition shall be as a matter of right unless barred by a valid waiver. (Civ. Proc. Code, § 872.710, subd. (b).) Thus, waiver may be the only exception to the otherwise absolute right of partition by a cotenant the way the statute is presently drafted. However, because the action is a proceeding in equity, the Court is skeptical that the Legislature intended to restrict the court’s powers of equity, especially when it did not expressly refer to a limitation on such powers to preclude the right of partition. This issue appears unresolved. Further, in a partition action, “[t]he interests of the parties, plaintiff as well as defendant, may be put in issue, tried, and determined in the action.” (Code Civ. Proc., § 872.610.) In <i>Summers</i>, the Court of Appeal held that the partition statutes do not allow a trial court to order the manner of a property’s partition before it determines the ownership interests in the property. (<i>Summers v. Superior Court</i> (2018) 24 Cal.App.5th 138, 141.) Thus, the Court finds that Plaintiff has not shown that the allegations in the Answer are irrelevant or improper. The Court also finds that unclean hands is properly alleged at the pleadings stage. Plaintiff is ordered to serve notice.
12.	2025-1465984 Anaya-Flores vs. Maxim Healthcare Services, Inc	Case Management Conference Defendants Maxim Healthcare Services, Inc. (“Maxim”), Adam Cuomo, and Jonathan Ayran’s (collectively, “Defendants”) Motion to Compel Arbitration and Stay the Action is granted. Defendants move to compel enforcement of an arbitration agreement they contend Plaintiff Maria Anaya-Flores (“Plaintiff”) signed when she completed her “onboarding” documents. (ROA 32 [Nikzad Decl. at ¶ 13, Exh. D.] <u>The FAA and CAA</u> The FAA applies to any dispute concerning an arbitration provision in a contract “evidencing a transaction involving commerce.” (9

U.S.C. § 2.) This phrase is construed broadly and may apply to disputes between residents of the same state and in-state transactions that “affect” interstate commerce. (*Khalatian v. Prime Time Shuttle, Inc.* (2015) 237 Cal.App.4th 651.) “The ‘principal purpose’ of the FAA is to ‘ensur[e] that private arbitration agreements are enforced according to their terms.’” (*Lacayo v. Catalina Restaurant Group Inc.* (2019) 38 Cal.App.5th 244, 257, citing *AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 344, 131 S.Ct. 1740.)

“California law, like federal law, favors enforcement of valid arbitration agreements.” (*Baxter v. Genworth North America Corp.* (2017) 16 Cal.App.5th 713, 721, citation omitted.) Arbitrations provisions are to be interpreted broadly and “should be upheld unless it can be said with assurance that an arbitration clause is not susceptible to an interpretation covering the asserted dispute.” (*EFund Capital Partners v. Pless* (2007) 150 Cal.App.4th 1311, 1321, citations omitted.) A party seeking to compel arbitration under section 1281.2 must plead and prove (1) the existence of a written arbitration agreement and (2) that the other party has refused to arbitrate. (Code Civ. Proc., § 1281.2; *Mansouri v. Sup. Ct.* (2010) 181 Cal.App.4th 633, 641.)

“Whether an agreement to arbitrate exists is a threshold issue of contract formation and state contract law.” (*Avila v. Southern California Specialty Care, Inc.* (2018) 20 Cal.App.5th 835, 843-844.) The party seeking to compel arbitration has the initial burden of “proving the existence of a valid agreement to arbitrate.” If that burden is satisfied, “the party opposing arbitration must prove by a preponderance of the evidence any defense to the petition.” (*Avery v. Integrated Healthcare Holdings, Inc.* (2013) 218 Cal. App. 4th 50, 59, citations omitted.)

Existence of an Agreement to Arbitrate

The Court finds Defendants have met their burden of showing that Plaintiff entered into an arbitration agreement that requires arbitration of the claims Plaintiff asserts in this action. The arbitration agreement states, in relevant part, that:

Any disputes, claims, complaints or controversies (“Claim(s)”) between me and MAXIM arising out of and/or directly or indirectly related to my application for employment with MAXIM, my employment with MAXIM, the terms and conditions of my employment with MAXIM, and/or the termination of my employment with MAXIM, will be resolved by arbitration and NOT by a court or jury as set forth herein.

In her opposition, Plaintiff does not challenge the assertion that she was presented with the “onboarding” documents; or, that the documents included the arbitration agreement; or, that she electronically signed the agreement. Nor does Plaintiff challenge whether the individual defendants are entitled to enforce the agreement, or whether her claims would be encompassed as a “covered claim.” Although Plaintiff submitted a declaration stating she does not “recall ever electronically signing the Agreement or being able to review the Agreement during the onboarding process,” and that she recalls only that she had to “electronically sign a lot of documents to be hired,” this does not negate the formation of the agreement. (See *Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 423.) Accordingly, the Court finds Defendants have met their burden of showing the existence of an arbitration agreement.

Defenses To Enforcement

At the outset, the Court notes that it rejects Defendants’ argument that the Agreement “clearly and unmistakably” delegated the issue of the enforceability of the agreement to the arbitrator. The Court notes that the language on the face of the Agreement (“to hear and rule on pre-hearing disputes”) is ambiguous at best, and incorporating the rules of the AAA did not make such a term “clear and unmistakable.” (*Beco v. Fast Auto Loans, Inc.* (2022) 86 Cal.App.5th 292, 305)

Plaintiff contends the Court should deny this motion, because the arbitration agreement is both procedurally and substantively unconscionable.

For an arbitration agreement to be void under the doctrine of unconscionability, “the agreement must be both procedurally and substantively unconscionable.” (*Wherry v. Award, Inc.* (2011) 192 Cal.App.4th 1242, 1246, citing *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114–121.)

Procedural unconscionability focuses on “oppression” or “surprise” due to unequal bargaining power. Substantive unconscionability, on the other hand, looks at “overly harsh” or “one-sided” results. “But the two elements need not exist to the same degree. The more one is present, the less the other is required.” (*Ibid.*) Under *Armendariz*, arbitration clauses in employment contracts should provide for: a neutral arbitrator; adequate discovery; a written award; and, no limitation on remedies. It also should not require employees to pay either unreasonable costs or any arbitrators’ fees or expenses as a condition of access to the arbitration forum. (*Armendariz v. Found. Health Psychcare Svcs., Inc.* (2000) 24 Cal.4th 83, 102.)

The Court finds there is some procedural unconscionability, here, given that this arbitration agreement was signed in the employment context (and without any factors suggesting that the employee had “equal” bargaining power). (See *Tiri v. Lucky Chances, Inc.* (2014) 226 Cal.App.4th 231, 244.) Nevertheless, where there is no other indication of oppression or surprise, “the degree of procedural unconscionability of an adhesion agreement is low, and the agreement will be enforceable unless the degree of substantive unconscionability is high.” (*Ajamian v. CantorCO2e* (2012) 203 Cal.App.4th 771, 796.) Although the Court agrees there is some procedural unconscionability present, it disagrees with Plaintiff’s contention that it exists to a “high” degree. The Court agrees that the Agreement is a contract of adhesion and Maxim did not provide a copy of the AAA rules.

However, the Agreement does *not* limit the location of the arbitration *to a place of Maxim’s choosing*. Rather, it merely states that the arbitration “shall take place in the state in which the EMPLOYEE currently or last worked for MAXIM, unless otherwise agreed by the parties.”

With respect to substantive unconscionability, Plaintiff’s primary argument is that the arbitration agreement is supposedly unconscionable due to a separate, non-disclosure and non-compete agreement that she signed during the onboarding process (shortly after she signed the arbitration agreement). The NDA does state that, “in the event of a breach or threatened breach of any of the Covenants and promises contained in this Agreement, the Company can suffer irreparable injury for which there is no adequate remedy at law, and the Company will therefore be entitled to injunctive relief enjoining said breach or threatened breach...” However, it does not expressly carve out this relief from the Covered Claims of the arbitration agreement. As Plaintiff acknowledges, the arbitration agreement contains language that breach of the NDA is “not covered by this Agreement to arbitrate,” “unless Employee is employed by MAXIM in the State of California, in which case this provision regarding ‘Claims for breach of any Non-Solicitation, Non-Disclosure and/or Non-Competition Agreement between EMPLOYEE and MAXIM’ does not apply as ‘Claims not covered by this Agreement to arbitrate’.” There is no integration clause in the NDA or other language that suggests the NDA supersedes the arbitration agreement with respect to the carve-out for California employees, like Plaintiff.

The Court rejects Plaintiff’s other claims of substantive unconscionability. The PAGA waiver is severable (but there is no PAGA claim); the provision for reconsideration is more generous than the Code and is not drafted in a manner that somehow favors

		the employer over the employee; and the arbitration agreement does not prohibit the arbitrator from considering equitable tolling if presented with a statute of limitations issue. Finally, Plaintiff does not contend that any of the arbitration provisions otherwise fail to meet the <i>Armendariz</i> factors, e.g., a neutral arbitrator, adequate discovery, or payment of unreasonable costs. In sum, the Court finds Plaintiff has not shown that the arbitration agreement is unenforceable. The motion to compel arbitration is granted. Plaintiff is ordered to arbitrate all of her claims. The action is stayed pending final resolution of the arbitration. (Code Civ. Proc. § 1281.4.) All upcoming hearing dates shall be vacated. The Court sets an arbitration status conference for April 22, 2027, at 9:00AM in Department N18. Defendants shall give notice of the ruling.
14.	2024-1416858 Advanced Fiberglass Concepts vs. APG, LLC	Case Management Conference Defendant APG, LLC and George Gemayel's motions to quash discovery subpoenas or, in the alternative for protective orders, are denied. Defendants move for order quashing the subpoenas issued by Plaintiff Advanced Fiberglass Concepts to: Callahan & Blaine, K&L Law Group, Wells Fargo, MUFG Union Bank, U.S. Bank National Association, and JP Morgan Chase Bank. In the alternative, Defendants move for an order limiting the scope of the subpoenas to "specific relevant documents." It should be noted that the subpoenas to the banking institutions have already been limited to: "Any and all documents and records evidencing any and all accounts held by APG, LLC, a California limited liability company (dba Automotive Performance Group) (Entity No. 201805310526) from January 1, 2021 through the present, including, without limitation, monthly statements, cancelled checks and related records." The subpoenas to the law firms request six categories of (non-privileged) documents relating to the action styled <i>Greenkraft, Inc. v. George Patrick Gemayel, et al.</i>, OCSC case no. 30-2018-00979579. (See ROA 32 [Sunukjian Decl. at ¶¶ 7-8, Exhs. A, B].) <u>Legal Standard</u> A deposition subpoena is the proper tool to obtain discovery from a nonparty to the action. A deposition subpoena for production of business records commands the deponent to produce business

	records for inspection and copying, without attending an oral or written deposition. Generally, personal delivery of a deposition subpoena is effective to require a person who is a resident of California to produce the business records specified in the subpoena. (Code Civ. Proc. § 2020.220, subd. (c)(2).) Either the nonparty witness who has been subpoenaed, or any party to the action, may challenge the deposition subpoena. (Code Civ. Proc. § 1985.3, subd. (g).)¹ Upon a motion reasonably made by a party, the court may quash, modify or direct compliance with a subpoena for production of documents. The court “may make any other order as may be appropriate to protect the person from unreasonable or oppressive demands, including unreasonable violations of the right of privacy of the person.” (Code Civ. Proc. § 1987.1, subds. (a), (b).) “The court shall limit the scope of discovery if it determines that the burden, expense, or intrusiveness of that discovery clearly outweighs the likelihood that the information sought will lead to the discovery of admissible evidence.” (Code Civ. Proc., § 2017.020, subd. (a).) The party claiming a violation of the constitutional right of privacy must “[1] establish a legally protected privacy interest, [2] an objectively reasonable expectation of privacy in the given circumstances, [3] and a threatened intrusion that is serious.” (<i>Williams v. Superior Court</i> (2017) 3 Cal.5th 531, 552, citing <i>Hill v. National Collegiate Athletic Assn.</i> (1994) 7 Cal.4th 1, 35-37.) Generally, the corporate right to privacy is a lesser right than that held by human beings and is not considered a fundamental right.” (<i>SCC Acquisitions, Inc. v. Superior Court</i> (2015) 243 Cal.App.4th 741, 756.) Although the right of privacy covers financial information, “relevant bank customer information should not be wholly privileged and insulated from scrutiny by civil litigants”; rather, the trial court should employ “certain procedural devices” to “fashion[] an appropriate order that will, so far as possible, accommodate considerations of both disclosure and confidentiality.” (<i>Valley Bank of Nevada v. Superior Court</i> (1975) 15 Cal.3d 652, 656-658.) For the purpose of resolving a motion to compel, the balancing test is “whether the discovery ‘appears reasonably calculated to lead to the discovery of admissible evidence’” when “balanced against the corporate right of privacy.” (<i>SCC Acquisitions, Inc. v. Superior Court</i> (2015) 243 Cal.App.4th 741, 756.) Any doubts
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¹ Generally, a motion to “quash the production of documents or tangible things at a deposition” requires a separate statement. (Cal. R. Ct. Rule 3.1345, subd. (a)(5).) However, a separate statement is not required “[w]hen no response has been provided to the request for discovery.” (Cal. R. Ct. Rule 3.1345, subd. (b)(1).)

about relevance should generally be resolved in favor of permitting discovery. (*Ibid.*)

Here, the Court finds Defendants have not stated valid objections to the subpoenas directed to the law firms. Even if character evidence is inadmissible, this hardly matters; it is well-settled that the scope of permissible discovery does not require the evidence sought to be admissible. (*Gonzalez v. Superior Court* (1995) 33 Cal.App.4th 1539, 1546.) Rather, the question is whether the information “might reasonably assist a party in *evaluating* the case, *preparing* for trial, or *facilitating* settlement.” (*Ibid.* [emphasis in original [quoting Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (Rutter 1994) Discovery, ¶ 8:66.1, p. 8C–1].) The evidence sought by the subpoenas may tend to show that Defendants knew the representations they allegedly made to Plaintiff, in 2021, were false when made, and that this was a scheme to obtain funds to settle the *Greenkraft* litigation, in addition to showing whether funds from Plaintiff were used to pay that settlement.

Likewise, the Court finds Plaintiff’s right to discover the information sought by the subpoenas to the banks outweighs APG’s limited right to privacy. The fact that the conversion claim specifically points to three specific payments does not restrict Plaintiff’s right to discovery with respect to the remaining payments (which are specifically alleged in ¶ 16) that it made to APG.

Finally, the Court finds no reason to limit the subpoenas as requested by Defendants in their alternative motions for protective order, because the subpoenas are drafted in a matter that are reasonably tailored to the needs of this case (and Plaintiff had already agreed to narrow the scope of the subpoenas to the banks before these motions were filed).

Plaintiff shall give notice of the ruling.

DEMURRER

Defendants APG, LLC’s and George Patrick Gemayel’s demurrer to Plaintiff Advanced Fiberglass Concepts’ Complaint is overruled.

A demurrer presents an issue of law regarding the sufficiency of the allegations set forth in the complaint. (*Lambert v. Carneghi* (2008) 158 Cal.App.4th 1120, 1126.) The challenge is limited to the “four corners” of the pleading (which includes exhibits attached and incorporated therein) or from matters outside the pleading which are judicially noticeable under Evidence Code §§ 451 or 452. Although California courts take a liberal view of inartfully drawn complaints, it remains essential that a complaint set forth the

actionable facts relied upon with sufficient precision to inform the defendant of what plaintiff is complaining, and what remedies are being sought. (*Leek v. Cooper* (2011) 194 Cal.App.4th 399, 413.)

On demurrer, a complaint must be liberally construed. (CCP § 452; *Stevens v. Superior Court* (1999) 75 Cal.App.4th 594, 601.) All material facts properly pleaded, and reasonable inferences, must be accepted as true. (*Aubry v. Tri-City Hospital Dist.* (1992) 2 Cal.4th 962, 966-67.)

Economic Loss Rule

Defendants argue that Plaintiff's tort claims (1st cause of action for promissory fraud, 3rd cause of action for breach of the implied covenant of good faith and fair dealing, and the 4th cause of action for conversion) are barred by the economic loss rule as set forth in *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979.

Pursuant to *Robinson Helicopter*, a "party alleging fraud or deceit in connection with a contract must establish tortious conduct independent of a breach of the contract itself, that is, violation of "some independent duty arising from tort law." (*Id.* at 990.)

Defendants inexplicably omit reference to the portion of the *Robinson Helicopter* opinion where the court enumerated "several instances where tort damages were permitted in contract cases." (*Id.* at 989.) The court specifically found the tort damages were allowed "where the contract was fraudulently induced" because in that instance "the duty that gives rise to tort liability is either completely independent of the contract or arises from conduct which is both intentional and intended to harm." (*Id.* at 990.) The court went on to "hold the economic loss rule does not bar Robinson's fraud and intentional misrepresentation claims because they were independent of Dana's breach of contract." (*Id.* at 991.)

The economic loss rule does not apply to Plaintiff's promissory fraud claim. Nor does it apply to Plaintiff's 3rd or 4th causes of action. A breach of the implied covenant of good faith and fair dealing requires proof of a contract (see below); thus, such a claim cannot logically be barred due to that same contract claim. And, conversion, if properly pled, amounts to tortious conduct independent of a breach of the contract itself.

1st cause of action for promissory fraud

"Promissory fraud is a subspecies of fraud, and an action may lie where a defendant fraudulently induces the plaintiff to enter into a contract, by making promises he does not intend to keep."

(*Missakian v. Amusement Industry, Inc.* (2021) 69 Cal.App.5th 630, 653.)

“[P]romissory fraud requires proof of ‘(1) a promise made regarding a material fact without any intention of performing it; (2) the existence of the intent not to perform at the time the promise was made; (3) intent to deceive or induce the promisee to enter into a transaction; (4) reasonable reliance by the promisee; (5) nonperformance by the party making the promise; and (6) resulting damage to the promise[e].’ [Citation.]” (*Id.* at 654 [citing *Gruber v. Gruber* (2020) 48 Cal.App.5th 529, 540].)

A claim of promissory fraud is the same as fraudulent inducement. (*Id.* at 640, fn. 4.)

The Court finds Plaintiff’s allegations sufficiently specific to plead fraud. (See Complaint, ¶¶ 16, 24, 26, 34-36.)

Defendants additionally wrongly argue that the integration clause in the contract precludes reliance on verbal representations. In *Riverisland Cold Storage, Inc. v. Fresno-Madera Production Credit Assn.* (2013) 55 Cal.4th 1169, 1182, the Court held that the fraud exception to the parol evidence rule (Code Civ. Proc., § 1856, subd. (g)) permits evidence of fraudulent promises at variance with an integrated writing. A party cannot contract away liability for its own fraud. (Civ. Code, § 1668.)

2nd cause of action for breach of contract

Defendants fail to state any arguments to support their demurrer to the breach of contract claim.

“Every brief should contain a legal argument with citation to authorities on the points made. If none is furnished on a particular point, the court may treat it as waived, and pass it without consideration.” (*People v. Stanley* (1995) 10 Cal.4th 764, 793).

Therefore, the Court overrules the demurrer to this claim.

3rd cause of action for breach of implied covenant of good faith and fair dealing

In order to properly establish breach of the covenant of good faith and fair dealing, Plaintiffs must prove the following: (1) the parties entered into a contract; (2) plaintiff did all that was required under the contract or was excused from such; (3) the conditions required for defendants performance occurred; (4) defendant unfairly interfered with plaintiff’s right to receive the benefits of the

contract, and (5) plaintiff was harmed by defendant's conduct. (CACI 325.)

Breach of contract is a necessary prerequisite to bring a claim for breach of the implied covenant of good faith and fair dealing. (See *Racine & Laramie, Ltd. v. Department of Parks & Recreation* (1992) 11 Cal.App.4th 1026, 1031-1032 ("The implied covenant of good faith and fair dealing rests upon the existence of some specific contractual obligation ..., [T]here is no obligation to deal fairly or in good faith absent an existing contract."); *Digerati Holdings, LLC v. Young Money Entertainment, LLC* (2011) 194 Cal.App.4th 873, 885 ("Although breach of the implied covenant often is pleaded as a separate count, a breach of the implied covenant is necessarily a breach of contract.").)

Defendant argues that this cause of action is barred as a matter of law because, to the extent it sounds in tort, it is improper and, to the extent it sounds in contract, it is redundant.

It does not appear that Plaintiff is alleging a tortious breach of the covenant, so this cause of action is not improper as Defendant argues.

Furthermore, redundancy is not a proper basis to sustain a demurrer. (See *Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC* (2008) 162 Cal.App.4th 858, 890.)

4th cause of action for conversion

The elements of conversion are: "(1) the plaintiff's ownership or right to possession of the property; (2) the defendant's conversion by a wrongful act or disposition of property rights; and (3) damages." (*Lee v. Hanley* (2015) 61 Cal.4th 1225, 1240.)

In the Complaint, Plaintiff alleges that Defendants failed to return money received from Plaintiff and used it to settle an unrelated lawsuit and for other personal reasons and Defendants' own operating expenses. (Complaint, ¶¶ 49, 50.)

Defendants argue that a claim for conversion is not appropriate to recover money damages. This is not a correct statement of the law. Money is "property." Defendants cite to *PCO, Inc. v. Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro, LLP* (2007) 150 Cal.App.4th 384, 395, which provides that "Money cannot be the subject of a cause of action for conversion unless there is a specific, identifiable sum involved, such as where an agent accepts a sum of money to be paid to another and fails to make the payment." (Emphasis added.) This appears to be exactly what Plaintiff is alleging.

5th cause of action for money had and received

Pursuant to *Mains v. City Title Ins. Co.* (1949) 34 Cal.2d 580, 586, a claim for money had and received “may be brought wherever one person has received money which belongs to another, and which in equity and good conscience, or in other words, in justice and right, should be returned.”

Plaintiff alleges in the Complaint that “[w]ithin the last three (3) years, Defendants, and each of them, received money from Plaintiff totaling \$4,370,837.98 that was intended for the benefit of Plaintiff. That money was not used for the benefit of Plaintiff, and Defendants, and each of them, have not returned the money to Plaintiff.”

These allegations adequately support a claim for money had and received.

6th cause of action for violation of B&P Code, § 17200 et seq.

Cal. Business & Professions Code section 17200 (“UCL”) prohibits “any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising.” Under the unlawful prong, a violation of law may be actionable as unfair competition under Cal. Business & Professions Code section 17200. (*Lueras v. BAC Home Loans Servicing, Inc.* (2013) 221 Cal.App.4th 49, 81.) An unfair business practice occurs when that practice offends an established public policy or when the practice is immoral, unethical, oppressive, unscrupulous or substantially injurious to consumers...An unfair business practice also means the public policy which is a predicate to the action must be tethered to specific constitutional, statutory or regulatory provisions.” (*Id.* (internal citations omitted).) A fraudulent practice “require[s] only a showing that members of the public are likely to be deceived and can be shown even without allegations of actual deception, reasonable reliance and damage.” (*Id.* (internal citations omitted).) Plaintiff alleges that “Defendants committed fraudulent acts against Plaintiff and members of the public, including Plaintiffs customers, by, among other things, making the Representations and Promises,” and that “Defendants’ conduct deceived the public in that Defendants knew Plaintiff would reasonably rely on Defendants’ false promises in marketing the Hardtops to the public and accepting payments from customers for the Hardtops” violating “Civil Code §§ 1572, 1709 and 1701 and Commercial Code § § 1103 and 1304.” (Complaint, ¶¶ 58, 59.)

Defendants argue that Plaintiff fails to plead a claim under the UCL because Plaintiff does not allege members of the general public are

likely to be received; the alleged misrepresentations in the Complaint were directed only to Plaintiff.

Plaintiff alleges not only fraud in the complaint, but also alleges a claim under the unlawful prong which does not require allegations of harm to the general public.

UCL standing requires only that the plaintiff “has suffered injury in fact and has lost money or property as a result of the unfair competition.” (Bus. & Prof. Code, § 17204; *Kwikset Corp. v. Superior Court* (2011) 51 Cal.4th 310, 322.)

There are sufficient facts pled to support this claim.

7th cause of action for accounting

“A cause of action for an accounting requires a showing that a relationship exists between the plaintiff and defendant that requires an accounting, and that some balance is due the plaintiff that can only be ascertained by an accounting.... [] An action for accounting is not available where the plaintiff alleges the right to recover a sum certain or a sum that can be made certain by calculation.” (*Teselle v. McLoughlin* (2009) 173 Cal.App.4th 156, 179.)

Plaintiff alleges that it “is entitled to an accounting of the monies paid to Defendants under the agreements described above for the production and shipping of the Hardtops,” due to “Defendants’ failure to produce the Hardtops ordered by Plaintiff despite receiving millions of dollars from Plaintiff and Defendants’ conversion of funds paid by Plaintiff.” (Complaint, ¶¶ 63, 64.)

Contrary to Defendant’s argument, there is no requirement of a creditor-debtor relationship.

The court in *Teselle* holds that “a fiduciary relationship between the parties is not required to state a cause of action for accounting”; the claim requires only a relationship warranting equitable relief and an unliquidated balance that cannot be ascertained without an examination of the defendant’s books. (*Teselle, supra*, 173 Cal.App.4th at 179–180.) This is pled.

Also, while Plaintiff seeks a specific sum with respect to the conversion claim, it does not appear that such a specific sum is sought as a whole from the other allegations in the Complaint.

Therefore, this cause of action is sufficiently alleged.

Alter Ego Allegations

Defendants additionally argue that the demurrer should be sustained as to all causes of action against Defendant Gemayel because alter ego is not sufficiently pled.

Generally, “a corporation is regarded as a legal entity, separate and distinct from its stockholders, officers and directors, with separate and distinct liabilities and obligations.” (*Sonora Diamond Corp. v. Superior Court* (2000) 83 Cal.App.4th 523, 538.) However, under the alter ego doctrine, “when the corporate form is used to perpetrate a fraud, circumvent a statute, or accomplish some other wrongful or inequitable purpose, the courts will ignore the corporate entity and deem the corporation’s acts to be those of the persons or organizations actually controlling the corporation, in most instances the equitable owners.” (*Id.*)

There are two conditions precedent to invoking the alter ego doctrine: “First, there must be such a unity of interest and ownership between the corporation and its equitable owner that the separate personalities of the corporation and the shareholder do not in reality exist. Second, there must be an inequitable result if the acts in question are treated as those of the corporation alone.” (*Id.*)

Plaintiff alleges that “Gemayel is the sole and dominating owner and/or member of Defendant APG;” “Gemayel dominated and controlled APG,” such that “APG was merely an instrumentality, agent, conduit, or adjunct of Gemayel,” “Gemayel commingled funds and other assets of APG and his funds, as well as other assets, for his own convenience and to assist in evading creditors and payment obligations,” and “Gemayel failed to adequately capitalize APG and/or transferred assets away from APG” among other things. (Complaint, ¶¶ 7-12.)

These allegations are sufficient at the pleadings stage to allege alter ego.

Based on the foregoing, the general demurrer is overruled in its entirety.

Special Demurrer

Defendants’ special demurrer is also overruled. The allegations in the Complaint are not so confusing that Defendants cannot reasonably respond. (See *Khoury v. Maly’s of Calif., Inc.* (1993) 14 Cal.App.4th 612, 616; *Williams v. Beechnut Nutrition Corp.* (1986) 185 Cal.App.3d 135, 139.)

MOTION TO STRIKE

Defendants APG, LLC's and George Patrick Gemayel's motion to strike portions of Plaintiff Advanced Fiberglass Concepts' Complaint is denied.

A court may strike out any irrelevant, false, or improper matter inserted in any pleading or strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule or an order of the court. Code Civ. Proc. § 436. "Irrelevant" matters include: allegations not essential to the claim, allegations neither pertinent to nor supported by an otherwise sufficient claim or a demand for judgment requesting relief not supported by the allegations of the complaint. (Code Civ. Proc. § 431.10(b).) A motion to strike can also strike legal conclusions. (*Weil & Brown*, Cal. Prac. Guide, *Civil Proc. before Trial*, ¶ 7:179 (2010).) Conclusory allegations are permitted, however, if they are supported by other factual allegations in the complaint. (*Perkins v. Superior Court* (1981) 117 Cal.App. 3d 1, 6.)

Motions to strike are disfavored. Pleadings are to be construed liberally with a view to substantial justice. (Cal. Code Civ. Proc. § 452; *Weil & Brown*, Cal. Prac. Guide, *Civil Proc. before Trial*, ¶ 7:197 (2010).) The allegations of the complaint are presumed true; they are read as a whole and in context. (*Clauson v. Superior Court* (1998) 67 Cal.App. 4th 1253, 1255.)

Punitive damages

Civil Code § 3294 provides that punitive damages may be awarded in an action for breach of an obligation not arising from contract, if the plaintiff proves by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice.

At the pleading stage, the complaint must allege facts supporting circumstances of oppression, fraud, or malice. (*Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 166 ("The mere allegation an intentional tort was committed is not sufficient to warrant an award of punitive damages. [Citation] Not only must there be circumstances of oppression, fraud or malice, but facts must be alleged in the pleading to support such a claim. [Citation]."))

As stated above with respect to the demurrer, Plaintiff alleges facts sufficient to support fraud. Therefore, the motion to strike the punitive damages claims is denied.

Alter Ego Allegations

		Defendant argues that if the demurrer is sustained based on inadequate alter ego allegations, then such should be stricken. Because the demurrer is overruled, including with respect to the alter ego allegations, the motion to strike is denied. Plaintiff shall give notice of both rulings.
15.	2024-1419322 Rodriguez vs. Avis Budget Car Rental, LLC	Specially appearing defendant Edmund Bagtas’s motion to quash service of summons is granted. Code of Civil Procedure section 415.50 permits service by publication only where it appears by affidavit that the defendant “cannot with reasonable diligence be served in another manner” provided by the governing service statutes. Because service by publication rarely provides actual notice, the required diligence entails a thorough and systematic investigation undertaken in good faith. (<i>Watts v. Crawford</i> (1995) 10 Cal.4th 743, 749, fn. 5; <i>Rios v. Singh</i> (2021) 65 Cal.App.5th 871, 880.) The relevant question is whether the plaintiff took the steps a reasonable person who genuinely desired to provide the defendant with notice would have taken under the circumstances. (<i>Rios</i>, supra, at p. 880.) Contrary to plaintiffs’ contention, the Court’s prior ex parte order authorizing publication does not preclude defendant from challenging the validity of the resulting service. A motion under Code of Civil Procedure section 418.10 is the appropriate means of challenging service for lack of personal jurisdiction. Once such a challenge is made, plaintiffs bear the burden of establishing the facts necessary to demonstrate valid service. (<i>Lebel v. Mai</i> (2012) 210 Cal.App.4th 1154, 1163.) Plaintiffs have not carried that burden. Their evidence establishes the following efforts. In approximately April 2025, a process server attempted service at 1020 West Ball Road, Room 203, Anaheim, but was denied entry by a guard. The record identifies no further attempt at that location and no inquiry directed to the hotel concerning whether defendant remained a guest there. In December 2025, plaintiffs requested an address from the Avis defendants and were given 3868 Donnington Drive in Virginia Beach, Virginia. The proof of nonservice reflects <i>three</i> attempts at that address on January 5, 10, and 16, 2026, at 2:45 p.m., 3:30 p.m., and 4:15 p.m., respectively. No one answered the door. Although plaintiffs’ declarations and opposition characterize these as “more than four” attempts (Opposition, (ROA 93) at line 1), this is wrong; the proof submitted establishes only three.

	The Avis defendants subsequently supplied a third address, 1050 West Ball Road in Anaheim. Plaintiffs made no attempt at service there. Counsel instead unilaterally concluded that an attempt would be “impractical” and “futile” (Opposition, (ROA 93), page 4, line 3 and page 6, lines 3-10, respectively) because the address appeared to be a hotel and no room number had been provided. Plaintiffs identify no independent effort to ascertain defendant’s current residence or whereabouts. There is no evidence of inquiry through publicly available address or property records, postal information, telephone or other directories, an investigator, known relatives or associates, the rental transaction records, or any other likely source of information. The Court does not hold that every conceivable investigative method must be exhausted, or that any one of the foregoing steps is invariably required. But the limited attempts shown here, coupled with the complete absence of any demonstrated independent investigation and plaintiffs’ decision not even to attempt service at the most recently supplied address, do not establish reasonable diligence under section 415.50. Nor does the record support plaintiffs’ repeated assertion that defendant has been deliberately evading service. The inability to serve defendant at the identified addresses may establish that the attempts were unsuccessful; it does not, without more, establish intentional evasion. Plaintiffs’ further assertion that defense counsel has been unable to locate defendant is unsupported by competent evidence and, in any event, does not satisfy plaintiffs’ own obligation to undertake a reasonably diligent investigation. Accordingly, the Court’s April 6, 2026, order authorizing service by publication is vacated, and the purported service of the summons and complaint upon defendant Edmund Bagtas by publication is quashed. This ruling is without prejudice to plaintiffs’ seeking a renewed order for publication upon a sufficient evidentiary showing of reasonable diligence.
2023-01318557 Alexander vs. Bhavsar	The motion is denied insofar as Defendants seek wholesale exclusion of Dr. Zaks’s testimony or all of his standard-of-care opinions. Dr. Zaks possesses sufficient education, training, experience, and knowledge in dermatology and dermatologic treatment to satisfy the threshold requirements of Evidence Code section 720. His lack of experience personally performing the particular Pearl Fractional procedure and the concessions made during his deposition concerning the device in question are proper subjects for

cross-examination and generally affect the weight of his opinions, not their admissibility.

The motion is granted to the limited extent that Dr. Zaks may not opine that the laser device malfunctioned, as he disclaimed any such opinion to a reasonable medical probability. He also may not assume that Defendant failed to perform test spots or ignored visible manifestations of pain unless evidence admitted at trial supplies a factual basis for those assumptions. Dr. Zaks shall be limited to the substance of the opinions and bases disclosed during his deposition and may not offer materially new standard-of-care or causation opinions at trial.

Dr. Zaks shall be limited to the substance of the opinions and bases disclosed in his report and deposition. He may explain, amplify, and defend those disclosed opinions, but he may not offer a materially new opinion, a new theory of breach or causation, or a materially new basis for an opinion that he did not disclose at deposition. His testimony that he might change an opinion after rereading the record does not preserve a right to do so at trial. Whether particular testimony constitutes permissible explanation or an undisclosed new opinion will be determined when the testimony is offered.

Other foundational objections may be raised when the particular testimony is offered.

The Court notes further that Plaintiffs' opposition exceeds the page limitation prescribed by California Rules of Court, rule 3.1113(d), and was filed without obtaining leave of court. A memorandum exceeding the applicable page limit is treated in the same manner as a late-filed paper. (Cal. Rules of Court, rule 3.1113(g).) In the exercise of its discretion, the court has considered the opposition. Plaintiff is admonished that her self-represented status does not excuse compliance with the California Rules of Court and that future noncompliant filings may be disregarded.